

objections. Perhaps a partiality to maturities no longer than, say, fifteen years from purchase date may be the most logical reaction to this uncertain situation.

For the small investor, United States Savings Bonds present a perfect solution of this problem (as well as the one preceding), since the right of redemption at the *option of the holder* guarantees them against a lower price. As we shall point out in a more detailed discussion, the advent of these baby bonds has truly revolutionized the position of most security buyers.

3. The Value of the Dollar. If the investor were certain that the purchasing power of the dollar is going to decline substantially, he undoubtedly should prefer common stocks or commodities to bonds. To the extent that inflation, in the sense commonly employed, remains a possibility, the investment policy of the typical bond buyer is made more perplexing. The arguments for and against ultimate inflation are both unusually weighty, and we must decline to choose between them. The course of the price level since 1933 would seem to belie inflation fears, but the past is not necessarily conclusive as to the future. Prudence may suggest some compromise in investment policy, to include a component of common stocks or tangible assets, designed to afford some protection against a serious fall in the dollar's value. Such a hybrid policy would involve difficult problems of its own; and in the last analysis each investor must decide for himself which of the alternative risks he would prefer to run.

B. SPECULATIVE BONDS AND PREFERRED STOCKS

The problems related to this large class of securities are not inherent in the class itself, but are rather derived from those of investment bonds and of common stocks, between which they lie. The broad principles underlying the purchase of speculative senior issues remain, in our opinion, the same as they always were: (1) A risk of principal loss may not be offset by a higher yield alone but must be accompanied by a commensurate chance of principal profit; (2) it is generally sounder to approach these issues as if they were common stocks, but recognizing their limited claims, than it is to consider them as an inferior type of senior security.